MAHATMA GANDHI UNIVERSITY, KOTTAYAM
MGU-UGP (HONOURS)
THIRD SEMESTER EXAMINATION- MODEL QUESTION PAPER
(2024 ADMISION ONWARDS)
MG3DSECOM204 – PUBLIC FINANCE

Duration: 1 Hour 15 minutes **Maximum Marks: 70**

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

PART A

Attempt any twenty questions. Each question carries 1 mark.

1. Which is the source of revenue for the government? (Understand) (CO1)
a) Taxation and Duties b) Company shares
c) Salary of the staff d) Subsidies

2. Who are the beneficiaries of 'Finance'? (Understand) (CO1)
a) Individuals b) Business organizations c) Government d) All of the other options

3. What do not come under the purview of Personal Finance? (Understand) (CO1)
a) Family Budgeting b) Retirement Plans c) Tax Collection d) Personal Loans

4. Which statement is true regarding Public Finance? (Understand) (CO2)
a) Public Finance involves peoples' money. b) Public Finance involves personal budgeting
c) Public Finance involves individual Goals d) Public Finance is influenced by profit only.

5. Who is the father of Modern Public Finance (Understand) (CO1)
a) Richard A Musgrave b) Prof. Hugh Dalton
c) Charles Davenant d) Adam Smith

6. Evaluate the purpose of Government in using Public Funds. (Understand) (CO2)
a) Welfare Activities b) Developmental Activities c) Bridging Deficits
d) All of the other options

7. Select the most appropriate feature of Public Debts. (Understand) (CO2)
a) High Risk b) Transparency c) High-Interest Rate d) Time Bound Repayment

8. What does Public Debt Refer to? (Analyse) (CO3)
a) The loans or borrowings made by the government to meet the gap between its revenue and expenditure
b) The loans and borrowings for the purpose of Personal needs, business investments consumption.

c) The loans to financing enterprises or initiatives with social and/or environmental benefits
d) The loans taken by business organization to develop their business.

9. Based on the source of funds public debt is divided into: (Understand) (CO3)
a) Three b) Four c) Two d) Five

10. What are the two main types of Public Debt? (Understand) (CO2)
a) Internal and External Debt b) Commercial and Non-Commercial Debt
c) Personal and Public Debt d) Progressive and Non-Progressive Debts

11. Which Government should implement Progressive or Cyclical Tax? (Understand) (CO1)
a) Local Governments b) State Governments c) Central Government d) Union Territories

12. Taxes on immobile bases, such as land and property are Collected by which Government (Understand) (CO1)
a) Federal Governments b) State Governments c) Central Government d) Union Territories

13. What should a government do to ensure autonomy and avoid fiscal imbalances? (Analyse) (CO5)
a) Tax assignments should match expenditure responsibilities at each level.
b) Entrust local consumption taxes to State Governments.
c) Allow Grants to State Governments.
d) Tax on unevenly distributed resources be given to Central Government

14. What options are available to State and Local Governments if they are not able to raise revenue? (Understand) (CO2)
a) Collect additional Tax b) Piggyback on Central Taxes and Collect overlapping taxes
c) Collect tax on mobile Factors d) Raise loan from Commercial Banks.

15. What should be done in Federalism to ensure fair distribution of Central Taxes? (Understand) (CO4)
a) Share certain Taxes with States b) Allow taxes on unevenly distributed resources to be collected by States. c) Give special loans to States d) Allow States to form their own revenue collection methods.

16. List out the Types of Tax Revenues for Rural Local Bodies (Understand) (CO5)
a) Property Tax, Tax on Shops and Establishments b) Advertisement Tax
c) Tax on Markets and Fairs d) Income Tax
17. Property Tax, Tax on Shops and Establishments and Professional Tax are examples of revenue of which level of Government? (Understand) (CO2)

a) Central Government b) State Government c) Urban Local Body d) Rural Local Body

18. Pradhan Mantri Garib Kalyan Yojana, a scheme aimed at providing financial support to low-income groups. Which objective of Fiscal Policy is covered under this scheme? (Analyse) (CO5)
a) Price Stability b) Economic Development c) Reduction of Economic Inequalities
d) Inflation Control

19. Analyse the activity of Government of adjusting taxes and expenditure (Analyse) (CO4)
a) For Controlling excessive demand in the economy. b) To curb Inflation
c) For Boosting Demand during deflationary periods d) All of the other options

20. Through infrastructure development and public employment programme what does the Fiscal policy aim at? (Analyse) (CO5)
a) Price Stability b) Employment Generation c) Reduction of Economic Inequalities
d) Inflation Control

21. What are the different methods of Capital Formation? (Understand) (CO2)
a) Promoting personal Loans b) Promoting personal Savings
c) Promoting personal expenditure d) Promoting public expenditure

22. Export duty exemptions, tax reliefs on foreign investments, and GST refunds are examples of: (Understand) (CO5)
a) Foreign Exchange b) Fiscal Policy c) Fiscal Incentives d) Monetary Policy

[1 x 20 = 20]

PART B

Attempt any Twenty-Five questions. Each question carries 2 marks.

23. Consider the statements: Choose the appropriate alternative. (Analyse)(CO5)
Statement 1 – Fiscal policy in India is mainly announced through the Union Budget.
Statement 2 – Monetary policy is implemented by the Ministry of Finance.
a) Only 1 is true b) Only 2 is true c) Both 1 and 2 are true d) Both 1 and 2 are false

24. Consider the following statements and choose the most appropriate alternative. (Understand)(CO3)
Statement I: Grants-in-aid provided under Article 275 of the Constitution are statutory grants recommended by the Finance Commission to states that are in need of financial assistance.
Statement II: Grants provided under Article 282 of the Constitution are discretionary in nature and can be made by either the Union or a State for any public purpose.
a) Both statements are true. b) Statement I is true, and Statement II is false.
c) Statement I is false, and Statement II is true. d) Both statements are false.

25. Fiscal policy and monetary policy differ because fiscal policy deals with:(Analyse) (CO5)
a) Money supply, while monetary policy deals with taxes
b) Taxes and spending, while monetary policy deals with money supply
c) RBI decisions, while monetary policy is by Parliament
d) Exports only, while monetary policy deals with imports

26. A major source of income for local bodies is (Understand)(CO4)
a) Customs duties b) Excise duties c) Property tax d) Corporation tax

27. Consider the following statements regarding the borrowing powers of governments in India and state which of them are true. (Understand)(CO3)
Statement (1): The Union Government has the power to borrow both internally and externally, subject to limits set by the Parliament
Statement (2): State Governments can only borrow internally within the territory of India
Statement (3): A State Government must obtain the consent of the Central Government before raising a new loan if it is already indebted to the Centre
Statement (4): The Finance Commission is responsible for setting the borrowing limits for both the Union and State governments
a) (1) and (2) only b) (2), (3) and (4) only c) (1), and (3) only d) All of the other options

28. Consider the following statements Assertion (A) and Reasoning (R). Choose the correct alternative. (Understand)(CO3)
Assertion (A): In India's federal system, States often have more expenditure responsibilities than their own revenue sources can support, creating a vertical fiscal imbalance.
Reasoning (R): Central financial support, through mechanisms like tax sharing and grants-in-aid, is critical for States to bridge this mismatch between responsibilities and revenue.
a) Both A and R are true, and R is the correct explanation of A.
b) Both A and R are true, but R is not the correct explanation of A.
c) A is true, but R is false. d) A is false, but R is true.

29. Consider the statements: Choose the appropriate alternative. (Understand)(CO4)
Statement 1 – Local governments in India have powers to levy income tax.
Statement 2 – Local governments depend on State governments for grants.
a) Only 1 is true b) Only 2 is true c) Both 1 and 2 are true d) Both 1 and 2 are false

30. Consider the following statements and choose the most appropriate alternative. (Understand)(CO3)

Statement I: Vertical Devolution in Indian fiscal federalism refers to the distribution of the divisible pool of central tax revenues between the Union Government and the State Governments as a collective whole.
Statement II: Horizontal Devolution deals with the allocation of the collective share of central taxes among the individual States, based on a formula recommended by the Finance Commission.
a) Both statements are true. b) Statement I is true, and Statement II is false.
c) Statement I is false, and Statement II is true. d) Both statements are false.

31. Consider the statements. Choose the appropriate alternative. (Understand)(CO4)
Statement 1 – Article 280 provides for the establishment of the Finance Commission.
Statement 2 – Finance Commission is appointed by the Prime Minister.
a) Only 1 is true b) Only 2 is true c) Both 1 and 2 are true d) Both 1 and 2 are false

32. Consider the following statements and choose the most appropriate alternative.(Understand)(CO1,2)
Statement I: For Urban Local Bodies (ULBs) in India, Property Tax is considered the primary and most stable source of their own tax revenue.
Statement II: Key own tax revenues for Rural Local Bodies (PRIs) include House Tax, Land Cess, and taxes on Markets and Fairs.
a) Both statements are true. b) Statement I is true, and Statement II is false.
c) Statement I is false, and Statement II is true. d) Both statements are false.

33. Consider the following statements and choose the most appropriate alternative. (Understand)(CO1,2)
Statement I: A tax is a compulsory payment made to the government, and the taxpayer does not receive a direct or specific benefit in return for the payment.
Statement II: A fee is a voluntary payment made to the government in return for a specific service, and there is a direct benefit received by the payer.
a) Both statements are true. b) Statement I is true, and Statement II is false.
c) Statement I is false, and Statement II is true. d) Both statements are false.

34. Consider the statements: Choose the appropriate alternative. (Understand)(CO4)
Statement 1 – Finance Commission is a constitutional body.
Statement 2 – It distributes financial resources between Centre and States.
a) Only 1 is true b) Only 2 is true c) Both 1 and 2 are true d) Both 1 and 2 are false

35. Consider the statements.: Choose the appropriate alternative. (Analyse)(CO5)
Statement 1 – Fiscal deficit represents total borrowing needs of the government.
Statement 2 – Revenue deficit occurs when revenue expenditure exceeds revenue receipts.

a) Only 1 is true b) Only 2 is true c) Both 1 and 2 are true d) Both 1 and 2 are false

36. Consider the following statements and choose the most appropriate alternative. (Understand)(CO3)
Statement I: The 73rd and 74th Constitutional Amendments (1992) formally recognised rural and urban local governments, respectively, as the third tier of India's federal polity.
Statement II: These amendments mandate that all states, regardless of their size and population, must adopt a uniform three-tier Panchayati Raj Institution (PRI) system.
a) Both statements are true. b) Statement I is true, and Statement II is false.
c) Statement I is false, and Statement II is true. d) Both statements are false.

37. Consider the following statements and state which of the statements are true. (Understand)(CO3)
Statement (1): Internal debt carries no foreign exchange risk because it is borrowed and repayable in the domestic currency.
Statement (2): External debt obtained from multilateral institutions like the World Bank is often used for infrastructure and developmental projects.
Statement (3): Borrowing from internal sources, such as domestic citizens and banks, directly reduces a country's foreign exchange reserves.
Statement (4): External debt can sometimes be accompanied by conditions from lenders that require the borrowing country to implement specific economic reforms.
a) (1) and (4) only b) (2), (3) and (4) only c) (1), (2) and (4) only d) (1), (2), (3) and (4)

38. Consider the following statements and choose the most appropriate alternative. (Understand)(CO3)
Statement I: The "crowding out" effect of public debt occurs when heavy government borrowing from domestic banks reduces the amount of credit available for private businesses and individuals.
Statement II: The "crowding in" effect can happen when government spending, financed by debt, stimulates aggregate demand in the economy, thereby encouraging private investment.
a) Both statements are true. b) Statement I is true, and Statement II is false.
c) Statement I is false, and Statement II is true. d) Both statements are false.

39. Consider the following statements and state which of the statements are true. (Understand)(CO3)
Statement (1): The Principle of Unity requires that the government prepares one single, consolidated budget to provide a complete picture of its finances and avoid off-budget liabilities.
Statement (2): Under the Principle of Rule of Lapse, any unspent funds allocated to a department automatically lapse at the end of the financial year and must be re-approved by the legislature for the next year.

Statement (3): The Principle of Specificity, also known as the Rule of Appropriation, means that funds allocated for a specific purpose, such as rural roads, can be used for any other purpose, like urban housing, without approval.
a) (1) and (2) only b) (1) and (3) only c) (2) and (3) only d) (1), (2), and (3)

40. Match the following types of public debt with their correct description. (Understand)(CO3)

(a) Productive Debt	(i) War expenses, natural disaster relief
(b) Unproductive Debt	(ii) Treasury Bills, Government Securities
(c) Marketable Debt	(iii) Infrastructure loans for roads and railways
(d) Compulsory Debt	(iv) Emergency levies during a war or crisis

a) a-iii, b-i, c-ii, d-iv b) a-i, b-ii, c-iv, d-iii c) a-iv, b-iii, c-i, d-ii d) a-ii, b-iv, c-iii, d-i

41. Consider the following statements and state which of the statements are true. (Understand)(CO3)
Statement I: A government's Revenue Budget includes revenue receipts like taxes and non-tax revenue, and revenue expenditure like salaries, subsidies, and interest payments on public debt.
Statement II: A government's Capital Budget is composed of capital receipts, such as market borrowings and disinvestment, and capital expenditure on items like infrastructure development and loan disbursements.
a) Both statements are true. b) Statement I is true, and Statement II is false.
c) Statement I is false, and Statement II is true. d) Both statements are false.

42. Consider the following statements regarding the dangers of public debt and state which are true. (Understand)(CO3)
Statement (1): A debt trap is a situation where a country has to borrow more just to make interest payments on its existing loans, leading to a rising cycle of debt.
Statement (2): Excessive public debt can lead to a downgrade by credit rating agencies, which increases the cost of future borrowing for the government.
Statement (3): Heavy dependence on foreign lenders for debt can lead to reduced sovereignty, as lenders may impose policy conditions on the borrowing nation.
Statement (4): Borrowing from the central bank, known as monetisation of debt, decreases the money supply and helps control inflation.
a) (1) and (2) only b) (1), (2) and (3) only c) (2), (3) and (4) only d) All of the other options

43. Consider the following statements and choose the most appropriate alternative. (Understand)(CO3)
Statement I: In the Indian budgetary process, the power to vote on Demands for Grants is exclusive to the Lok Sabha; the Rajya Sabha can only discuss them.

Statement II: A ‘Policy Cut Motion’ is a parliamentary tool used by members to express disapproval of the policy underlying a demand, proposing that the amount of the demand be reduced.
a) Both statements are true. b) Statement I is true, and Statement II is false.
c) Statement I is false, and Statement II is true. d) Both statements are false.

44. Consider the following statements Assertion (A) and Reasoning (R). Choose the correct alternative. (Understand)(CO3)
Assertion (A): The ‘Principle of Rule of Lapse’ is a fundamental concept in government budgeting where any unspent funds from a ministry’s budget automatically lapse at the end of the financial year and cannot be carried forward.
Reasoning (R): The primary purpose of this principle is to enforce financial discipline, encourage departments to utilize their allocated funds in a timely manner, and prevent the hoarding of public money.
a) Both A and R are true, and R is the correct explanation of A.
b) Both A and R are true, but R is not the correct explanation of A.
c) A is true, but R is false. d) A is false, but R is true.

45. Consider the following statements regarding public and private finance and state which are true. (Understand)(CO1)
Statement (1): The primary objective of public finance is to maximise social welfare, whereas the primary objective of private finance is to maximise personal profit.
Statement (2): Public revenue, such as taxes, is compulsory in nature, while private income from sources like salaries is voluntary and effort-based.
Statement (3): Public finance decisions are often transparent and subject to public scrutiny, while private finance decisions are generally confidential.
Statement (4): In public finance, the government first determines its expenditure and then seeks ways to raise the necessary income, a process known as deficit financing.
a) (1) and (2) only b) (2), (3) and (4) only c) (1), (3) and (4) only d) (1), (2), (3) and (4)

46. Consider the following statements Assertion (A) and Reasoning (R). Choose the correct alternative. (Understand)(CO1)
Assertion (A): According to Hugh Dalton’s Principle of Maximum Social Advantage, the ideal level of fiscal operations is reached when the Marginal Social Benefit (MSB) from public expenditure equals the Marginal Social Sacrifice (MSS) from taxation.
Reasoning (R): This point of equilibrium ensures that the net social benefit to society is maximised, meaning every unit of money transferred from the public to the government and back yields the greatest possible welfare.
a) Both A and R are true, and R is the correct explanation of A.
b) Both A and R are true, but R is not the correct explanation of A.

c) A is true, but R is false. d) A is false, but R is true.

47. Consider the following statements and choose the most appropriate alternative. (Understand)(CO1,2)
Statement I: The Impact of Taxation refers to the initial point of burden, falling on the person or entity legally responsible for first paying the tax to the government.
Statement II: The Incidence of Taxation refers to the final resting place of the tax burden after it has been shifted, indicating who ultimately bears the economic cost of the tax.
a) Both statements are true. b) Statement I is true, and Statement II is false.
c) Statement I is false, and Statement II is true. d) Both statements are false.

48. Consider the following statements Assertion (A) and Reasoning (R). Choose the correct alternative. (Understand)(CO3)
Assertion (A): The Finance Commission recommends the principles governing grants-in-aid of the revenues of the States out of the Consolidated Fund of India.
Reason (R): This is to ensure that States with low revenue-generating capacity are compensated to maintain fiscal balance.
a) Both A and R are true, and R is the correct explanation of A.
b) Both A and R are true, but R is not the correct explanation of A.
c) A is true, but R is false.
d) A is false, but R is true.

49. Consider the following statements Assertion (A) and Reasoning (R). Choose the correct alternative. (Understand)(CO3)
Assertion (A): The Fiscal Responsibility and Budget Management (FRBM) Act in India provides a framework to ensure the long-term sustainability of public debt.
Reasoning (R): The FRBM Act sets specific debt-to-GDP targets, including a Central Government debt level of 40% of GDP and a combined Centre and State debt level below 60% of GDP.
a) Both A and R are true, and R is the correct explanation of A.
b) Both A and R are true, but R is not the correct explanation of A.
c) A is true, but R is false.
d) A is false, but R is true. $(25\times 2 = 50)$